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RBI rate hike: How higher rates will impact your EMIs, FDs and debt funds

Shipra Singh | 8 min read | 8 Oct 2026, 02:19 PM IST



RBI raised the repo rate by 25 bps to 5.50%, its first rate increase since February 2023. **(REUTERS)**

SUMMARY

For borrowers, this would mean higher interest rates on home, vehicle and personal loans, while savers could benefit from better returns on fixed deposits.

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The Reserve Bank of India (RBI) increased the repo rate by 25 basis points (1 basis point or bps is equal to 0.01%) to 5.50% on Wednesday, its first hike since February 2023. The hike was a result of accelerating inflation and geopolitical uncertainty that has pushed up crude oil prices.

More importantly, the Monetary Policy Committee shifted its stance from 'neutral' to 'calibrated tightening.' Indranil Pan, chief economist at Yes Bank, said 'calibrated tightening' indicates another hike or a pause. Economists peg the

For borrowers, this would mean higher interest rates on home, vehicle and personal loans, while savers could benefit from better returns on fixed deposits (FDs) and bonds.

Impact on borrowers

Floating-rate home loans linked to the repo rate will be directly affected, impacting both existing and new borrowers. Lenders have started increasing rates on new loans, particularly with the festive season approaching. As of Thursday, Punjab National Bank, Bank of Baroda, Bank of India and Indian Bank, among others, had increased their repo-linked benchmark lending rate (RBLR) by 25 bps.

"I expect the increase to be passed on immediately for new customers. State Bank of India will announce its quarterly rate changes by 15 October and other major banks are likely to follow," said Mangesh Zope, founder of Peaceful-Loans.

For existing borrowers, the transmission can vary across lenders, depending on the reset terms.

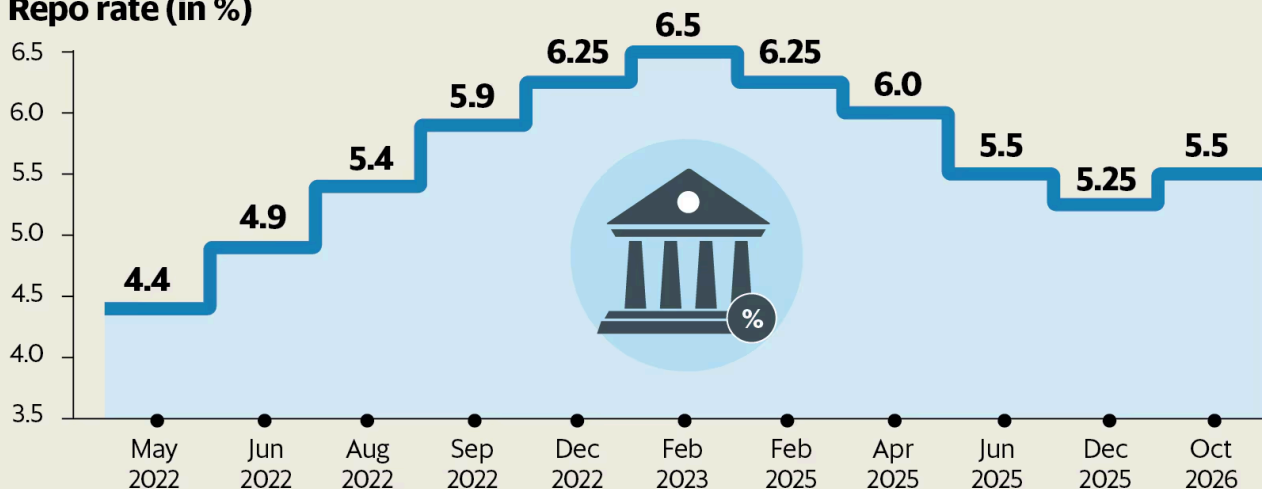
"SBI's loan agreement says rates linked to the EBLR (external benchmark linked rate) reset on the 15th of every month, while ICICI Bank resets rates once a quarter. NBFCs could pass on the increase faster as it's a rate hike," said Zope.

Once the higher interest rate takes effect, lenders typically extend loan tenures and keep EMIs unchanged. This doesn't mean the EMI can't be increased—borrowers have to ask the lender to revise the EMI.

Repo rate hike: what changes for borrowers and savers

With the RBI signalling further tightening, borrowers face higher loan costs while savers and debt investors could benefit from higher rates over time.

Repo rate (in %)



How the RBI rate hike affects your money

Home loans ↑



- **Existing floating-rate loans:** Repo-linked rates will rise from the next reset date
- **New loans:** Will get costlier as lenders revise benchmark-linked rates

Fixed Deposits ↗



- **Existing FDs:** No change; they continue earning the rate locked in at the time of investment.
- **New/renewed FDs:** Rates may move higher, but a 25 bps repo hike may not mean a 25 bps increase in FD rates

Vehicle and personal loans ↗



- **Existing loans:** No impact on fixed rate loans; rates on floating-rate loans may rise depending on the benchmark and reset terms
- **New loans:** Could get costlier as banks reprice loans following higher funding costs

Bonds and debt funds ↑



- **Existing investments:** Higher yields push bond prices down; long-duration funds are more sensitive to rate increases.
- **Fresh investments:** Higher bond yields improve prospective returns for investors who can hold for the appropriate horizon.

When rates rise, avoid increasing loan tenure

Loan details: ₹50 lakh, 7.75% interest rate, 20 years left
Total interest outgo: ₹48.51 lakh

When interest is raised to 8%	If you raise EMI amount	If you extend tenure
Monthly EMI	₹41,047 → ₹41,822	₹41,047 unchanged
Remaining tenure	20 years	~20 years 11 months
Total interest	~₹50.3 lakh	~₹53 lakh
Extra interest vs raising EMI	-	~₹2.7 lakh

Absorb rate hikes through higher EMIs, as extending the tenure further increases total interest outgo



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"A 25-bps hike's impact will not be significant. At 7.5% over 25 years, the monthly EMI could rise by about ₹490 on a ₹30 lakh loan, ₹654 on ₹40 lakh and ₹817 on ₹50 lakh," said Adhil Shetty, CEO of BankBazaar.

But with another hike or a pause likely, borrowers should keep an eye on the loan tenure, Shetty added.

"Many lenders extend the tenure to keep the EMI unchanged, which feels easier but costs more over time," he said.

A longer tenure results in higher interest outgo. Take the example of a ₹50 lakh loan at 7.75% with a 20-year tenure. If the rate rises to 8% and the EMI is unchanged, the tenure will increase by eleven months, and the borrower would pay about ₹3 lakh in additional interest than if the EMI was increased and the original tenure was retained. Keeping the tenure unchanged will increase the monthly EMI by about ₹775.

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Stretched repayment

When the rate rises but the EMI is unchanged, a larger portion of the EMI goes towards interest and less towards principal, which means the outstanding principal declines more slowly, stretching the repayment period and increasing the total interest paid over the loan tenure.

The impact is sharper if rate hikes are over 50 bps. In the example cited, if the loan rate rises from 7.75% to 8.5% and the EMI remains unchanged, the tenure would increase by almost three years and the borrower would pay about ₹10 lakh more in interest, compared to keeping the original 20-year tenure unchanged and increasing the EMI.

This impact will be pronounced for borrowers with a long repayment period ahead because interest continues to accrue on the outstanding principal for more years. For borrowers with less than 20%-30% of their total loan tenure left, the impact is less because most of the interest would already have been repaid.

As rates rise, Zope recommends increasing the EMI rather than extending the tenure if monthly cash flows permit. Shetty concurred and added small prepayments can be made every year to help limit the extra interest.

The rate hike could also affect new vehicle and personal loans, although the transmission is less direct than for repo-linked home loans. Higher policy rates push up lenders' funding costs, which results in the repricing of new loans.

"New borrowers may see lenders reprice loans based on their funding costs and the borrower's risk profile. Existing borrowers with floating rate personal and vehicle loans could see rates rise if lenders pass on the increase, while fixed rate borrowers may not see an immediate change," said Shetty.

Impact on depositors

For savers, a rising interest-rate cycle can improve returns on new FDs. However, Shetty said deposit rates do not move in lockstep with the repo rate.

"Banks decide how much to raise FD rates based on their need for deposits, liquidity and competition for funds. This means a 25-bps repo rate hike need not translate into a similar increase in FD rates," he said.

Currently, major private banks offer 6.3-7% on deposits of below ₹1 crore with tenures of one to two years, while some small finance banks offer rates of up to 8.1%.

"For depositors, this could keep FD rates firm and create some scope for upward repricing," Shetty added.

Existing FDs will continue to earn the rate at which they were booked, so depositors will benefit from higher rates only when they make a fresh deposit or renew a maturing one. With further rate hikes likely, one option is to stagger deposits across maturities, allowing portions of the money to be reinvested if rates move higher.

The impact on bonds and debt mutual funds is more complicated. Bond prices and yields move in opposite directions, so when yields rise, the price of existing

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The impact is greater for longer-duration bonds, whose prices are more sensitive to changes in interest rates, while shorter-duration portfolios are relatively less affected.

Much of the latest RBI hike, however, had already been anticipated and was reflected in yields, limiting the immediate impact, particularly at the shorter end, said Lovaii Navlakhi, managing director and chief executive officer of International Money Matters. Investors who may need their money soon should therefore be cautious about taking additional duration risk.

"Investors in long-duration funds who need to withdraw soon could face losses as further increases in yields would push bond prices lower," said Navlakhi. "For long-term investors who can withstand volatility, higher yields may offer an opportunity to invest gradually in long-duration funds. However, the RBI's calibrated tightening stance suggests further hikes could follow, making the investment horizon crucial."

Focus on accrual

Until there is greater clarity on where policy rates peak, investors should focus on accrual—the interest income earned from holding debt securities—rather than try to profit from a fall in yields subsequently, Edelweiss Mutual Fund said in a note. It sees value in AAA-rated bonds maturing in two to three years and yielding 7.75-8.25%. Edelweiss expects the repo rate to reach 6.25% by early 2027.

If the rate-hike cycle remains relatively shallow and economic growth holds up, however, investors need not overhaul their portfolios.

"It really is business as usual for investors with their **asset allocation**," said Dhirendra Kumar, founder and CEO of Value Research.

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